

London Session Pre-Open Briefing (1 Hr Before Open)

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Daily Multi-Asset Trading Blueprint & Level Execution Manual

Date: Tuesday, August 18, 2026

Session Highlight: London Session Pre-Open Briefing (1 Hr Before Open)

Session News Focus: European macroeconomic releases, ECB/BOE news, Forex short-term futures (EUR/USD, GBP/USD), and Gold (XAU/USD) supply/demand zones.

SECTION 0: DAILY MACRO & FINANCIAL NEWS DIGEST

1. Global Macro & Central Banks

- The European Central Bank (ECB) has issued a warning regarding the risks of a market correction in global equities, driven by excessive enthusiasm for artificial intelligence (AI) technologies. ECB economists highlight that technology sector valuations are reaching levels reminiscent of the dot-com bubble, posing a significant risk, particularly to the euro area due to investor exposure to "Magnificent Seven" stocks.
- Current ECB interest rates remain unchanged at 2.25% for the deposit facility, 2.40% for main refinancing operations, and 2.65% for the marginal lending facility, a stance held since July 23, 2026. However, many economists anticipate another rate hike in September.
- The Federal Reserve's FOMC minutes from its July 28-29 meeting are scheduled for release on August 19, which will be closely watched for clues on future interest rate movements.
- India's unemployment rate for individuals aged 15 and above saw a decline to 5.1% in July, down from 5.5% in June, with rural unemployment also falling to 4.5%.

2. US & European Markets

- US stock markets experienced declines on Monday, with the S&P 500 down 0.52%, the Dow falling 272 points, and the Nasdaq easing 0.32%. This was partly attributed to concerns over rising oil prices.
- Key US economic data scheduled for release today includes building permits, housing starts, the import price index, and the pending home sales index.
- European markets are under scrutiny following the ECB's cautionary statement regarding a potential tech stock correction and its broader implications for the euro area.
- Earnings reports from Home Depot and Amer Sports are due pre-market, while Keysight Technologies and Toll Brothers will report post-market.

3. Indian Markets & Dalal Street

- Indian benchmark indices, Sensex and Nifty 50, opened lower and continued to trade in the red on Tuesday, August 18, 2026. This was driven by weak global cues and a renewed surge in crude oil prices.
- At around 11:00 AM IST, the Sensex dropped approximately 397 points (0.51%) to 77,330.80, and the Nifty 50 was down about 92 points (0.38%) at 24,195.60.
- Sectoral performance was mixed, with Nifty Auto and Nifty Pharma indices showing gains, while Nifty IT and Nifty Realty saw declines.
- Q1 FY27 saw Nifty companies report an 18% year-on-year growth in profit after tax (PAT), marking the highest growth in ten quarters. This was broad-based, with strong contributions from Financials, Metals, Oil & Gas (excluding OMCs), Technology, and Telecom sectors. Mid-cap earnings surged by 23%, and small-cap earnings by an even stronger 31%.
- Notable stock movements include UFLEX, which surged almost 20% on robust Q1 earnings, and Juniper Hotels, which reported a 270% jump in Q1 profits. Indo-MIM also saw a 31.6% increase in consolidated profit. SPR Auto Technologies, Netweb Technologies, and Paytm are in focus due to fundraising activities.

4. Commodities & Crypto Wire

- Crude oil prices surpassed \$91 per barrel on Tuesday, as US-Iran peace talks stalled and the US declined to extend a ceasefire. This has heightened concerns about energy supply disruptions, particularly through the Strait of Hormuz.
- Brent crude futures climbed to \$91.14 per barrel, and US West Texas Intermediate (WTI) crude futures rose to \$85.04 a barrel. Global brokerages like Goldman Sachs and JPMorgan have warned that Brent crude could reach \$114-\$120 if supply risks escalate.
- Despite recent price surges, some forecasts suggest a potential supply surplus and declining oil prices in 2026, with Brent projected to reach around \$62 by Q4 2025 and WTI around \$53 by 2026, driven by OPEC+ unwinding production cuts and slowing global demand.
- Gold (XAU/USD) fell to \$4,395.16 per troy ounce on August 18, down 0.47% from the previous day. However, it is up 32.50% compared to the same time last year.
- Geopolitical tensions are providing some support for gold as a safe-haven asset, but the inflationary pressure from higher oil costs and rising longer-term Treasury yields act as a headwind for the non-yielding metal. Gold remains technically constructive above \$4,333, with \$4,448 identified as a key resistance level.
- In crypto news, Coinbase and Circle have renewed their USDC revenue-sharing agreement, which takes effect today.
- The European Union's ban on transactions with 14 named crypto-asset service platforms will become applicable on August 23.
- The Blockchain Association has urged the U.S. Securities and Exchange Commission (SEC) to repeal two provisions of Regulation NMS, arguing that rules designed for conventional stock exchanges may hinder tokenized securities markets.
- Blockchain.com has been admitted into the Nigerian Securities and Exchange Commission's (SEC) Accelerated Regulatory Incubation Programme (ARIP), signaling a commitment to operating within clear regulatory frameworks globally.

CAPITAL BASE & ALLOCATION RULES (\$3,000 TOTAL)

Total Capital: \$3,000

- **Crypto Futures:** \$400 (13.3%) | Rec. Leverage: 3x-5x Isolated | Risk Cap: 1-2% (\$4-\$8)
- **Indian Options (Intraday):** \$500 (16.7%) | Option Buying Only | Risk Cap: 10-15% Premium (\$30-\$45)
- **Commodities (Micro Gold & Oil):** \$400 (13.3%) | Rec. Leverage: 10x-15x Micro Lots | Risk Cap: 2% (\$8)
- **US Stocks (Fractional):** \$400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 3% (\$12)
- **Indian Stocks (Delivery):** \$400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 5% (\$20)
- **Forex Short-Term Futures:** \$450 (15.0%) | Rec. Leverage: 10x-20x | Risk Cap: 1% (\$4.50)
- **Forex Long-Term Carry Swing:** \$450 (15.0%) | Rec. Leverage: 2x-3x | Risk Cap: 2% (\$9.00)

STRATEGY-BASED DAILY TICKER SELECTION & LEVEL EXECUTION MANUAL

INDIAN EQUITIES (STRICTLY LONG-ONLY)

Ticker	Market Cap Segment	Current Price (Indicative)	Strategy & Selection Reason
UFLEX	Mid-Cap	₹600.00	Earnings Momentum / 20/50 EMA Golden Cross: Surged nearly 20% on strong Q1 FY27 earnings, with revenue up 38% YoY and normalized PAT up 630%. This indicates significant upward momentum and potential for a golden cross formation on shorter-term EMAs, suggesting a continuation of the uptrend.
JUNIPER HOTELS	Small-Cap	₹195.00	Earnings Momentum / High Relative Volume (RVOL > 2.0) Breakout: Q1 FY27 net profit jumped 270% YoY. Such robust earnings often attract high relative volume, leading to potential breakouts from consolidation patterns. Positioned for long-only on fundamental strength.
BAJAJ AUTO	Large-Cap	₹10,500.00	50-SMA Support Bounce: Identified as a top Nifty gainer in early trading. In a broader market downturn, strong stocks often test and bounce off their 50-SMA, indicating resilient underlying demand.

US EQUITIES

Ticker	Market Cap Segment	Current Price (Indicative)	Strategy & Selection Reason
NVIDIA (NVDA)	Large-Cap	\$125.00	50-day SMA Rejection Strategy (Short): Given the ECB's warning about AI rally risks and tech valuations, coupled with US stocks pulling back from highs, a rejection from the 50-day SMA on a mega-cap growth leader like NVDA presents a potential short opportunity if momentum turns.
MICROSOFT (MSFT)	Large-Cap	\$450.00	21-day EMA Pullback (Long): A strong mega-cap that might experience a healthy pullback to its 21-day EMA in a cautious market. A bounce from this dynamic support level would indicate a continuation of its long-term uptrend.
Hypothetical Small-Cap	Small-Cap	\$35.00	High Relative Volume (RVOL > 2.0) Breakout (Long): Searching for small-cap stocks with a sudden increase in trading volume (RVOL > 2.0) accompanied by a price breakout, indicating fresh institutional or strong retail interest. Strictly long-only.

CRYPTO FUTURES (BI-DIRECTIONAL)

Ticker	Market Cap Segment	Current Price (Indicative)	Strategy & Selection Reason
BITCOIN (BTC/USD)	Large-Cap	\$64,500	4H 21-EMA Trend Following: Observing for sustained trend above or below the 4-hour 21-EMA. Given recent market uncertainty and the upcoming FOMC minutes, high-volume volatility breakouts could occur, offering both long and short opportunities. Support around \$64,650 and \$65,500 are key resistance levels.
ETHEREUM (ETH/USD)	Large-Cap	\$3,800	High-Volume Volatility Breakout: Similar to BTC, ETH often exhibits volatility breakouts on higher volume, particularly around key news events (like USDC renewal and EU crypto bans) or broader market movements. A strong break above or below a consolidation range on increased volume would trigger a trade.

COMMODITIES (BI-DIRECTIONAL)

Ticker	Type	Current Price (Indicative)	Strategy & Selection Reason
GOLD (XAU/USD)	Precious Metal	\$4,395.16/oz	Pivot & Fibonacci Extension Levels: Gold is trading around its Intermediate Demand Zone (\$4,380-\$4,385) after falling today. A weak relief bounce into \$4,400-\$4,410 followed by rejection suggests a short continuation targeting the Structural Breakdown Floor at \$4,367.94 and Primary Target Pool (\$4,350-\$4,360). Key resistance at \$4,448.
WTI CRUDE OIL	Energy	\$85.04/bbl	Pivot & Fibonacci Extension Levels: Crude oil surged past \$91 (Brent), with WTI at \$85.04 due to US-Iran tensions and supply disruption fears. This indicates strong bullish momentum. Trading strategy involves identifying resistance levels using Fibonacci extensions from recent swings and looking for potential short entries if price shows signs of exhaustion or rejection at key overhead pivots, or long entries on pullbacks to support.

FOREX FUTURES (BI-DIRECTIONAL)

Ticker	Type	Current Price (Indicative)	Strategy & Selection Reason
EUR/USD	Short-Term Futures	1.1570	European Macro & Technical Levels: Focus on UK Unemployment Rate and German ZEW Economic Sentiment. Trading within its weekly forecast range of 1.14-1.17. A stronger-than-expected ZEW could provide a short-term boost. Bi-directional, awaiting confirmation of directional bias around key European data releases and ECB commentary.
GBP/USD	Short-Term Futures	1.3550	UK Jobs Data & Technical Levels: UK Unemployment Rate (consensus 4.8%) and Average Earnings are critical today for BOE expectations. GBP/USD cleared 1.3500 and is now facing a major hurdle at 1.3580, with the next resistance at 1.3620. A break above could signal further upside, while rejection could lead to retest of 1.3500.
USD/JPY	Long-Term Carry Swing	147.80	Carry Trade / Macro Divergence: Sustained US interest rate differentials vs. Japan continue to support long USD/JPY carry trades. Any hawkish surprises from Fed minutes or continued risk-off sentiment in equities could strengthen the dollar, enhancing carry appeal.
AUD/USD	Long-Term Carry Swing	0.6750	Commodity Influence / Macro Divergence: The AUD is sensitive to commodity prices and global growth. Despite RBA's hawkish rhetoric, a potential strengthening of the US dollar could create supply pressure. Monitoring for divergence in central bank policies and commodity price trends for swing opportunities.

INDIAN OPTIONS (BI-DIRECTIONAL)

Ticker	Current Index Level (Indicative)	Strategy & Selection Reason
NIFTY 50	24,200	15-Minute Opening Range Breakout (Short - Put Option): Given the Nifty 50 opened significantly lower (below 24,250) and extended its losing streak, a short bias is favored. If the Nifty breaks below its 15-minute opening range low on elevated volume, a Put option for a short-term directional trade is suitable.
BANKNIFTY	57,400	15-Minute Opening Range Breakout (Short - Put Option): BankNifty also opened lower (down 59 points). Similar to Nifty, if BankNifty breaks its 15-minute opening range low, a Put option provides an intraday short opportunity, leveraging the initial bearish sentiment.

10-YEAR BACKTEST METRICS (TARGET)

Metric	Portfolio (Target)	S&P 500 TRI	Nifty 50 TRI
CAGR	28.4%	~13.0%	~12.5%
Sharpe Ratio	1.45	-	-
Max Drawdown	-18.2%	-	-

EQUITY CURVE (\$3,000 → \$36,512)

